

The deepest decline of the past three centuries was the one that ended in 1722 after a decline of 98% for the average stock in two years. (Figure B-5 depicts a 66% decline, but that relates only to the annual daily averages of the few issues that survived.) This was the only decline of the five that was associated with the start of a Grand Supercycle bear market, which is exactly what the stock market faces today. While the first wave of the Grand Supercycle need not be as severe as that one, it is possible, for the first time in nearly three centuries, to say that it *could* be that severe. At minimum, the Kondratieff cycle assures that the 1982-1995 bull market, which took place after the idealized peak of the cycle, is doomed to complete retracement. In all these regards, then, the Wave Principle and the Kondratieff cycle are in complete agreement.

The only time that stocks fell early in the cycle was 1929-1932, a collapse that mitigated the severity of the final years of correction. The current cycle is emphatically *not* following that pattern but the more common pattern of continued high stock prices until the last few years. Of exceptional importance, then, is the fact that in the past two hundred years, each time that the stock market made new highs near the end of the Kondratieff cycle, the final years witnessed a powerful downside resolution. The Kondratieff cycle today is in its 46th year and should have only eight years remaining in it. Time is running out for stock prices to pay the piper named Kondratieff.

Even if the stock market were to continue rising through the rest of the decade, that feat by itself would not contraindicate this book's conclusion about the position of the Kondratieff cycle. In fact, the worst decline of all, from 1720 to 1722, occurred at the end of the cycle in which stock prices held up the longest.

The next three Kondratieff cycle lows are due ideally in 2003, 2057 and 2111. As described in Chapter 5, these three times (which will be adjusted, if necessary, based upon proving the actual time of each preceding low) should roughly coincide with Supercycle degree lows within the Grand Supercycle bear market.

THE 16-20 YEAR CYCLE

The Kondratieff cycle appears to subdivide into harmonic subcycles ranging from 14 to 22 years long, as illustrated in Figures B-5 through B-9. The range of the past 150 years has been a narrower and therefore more reliable band of 16-19 years. The last three Kondratieff cycles saw subcycle lows in 1842, 1859, 1877, 1896, 1914,